

Customer Churn Data Analytics Project

Stage 1 Summary: Business Understanding

This document summarizes the Business Understanding stage of the Customer Churn Data Analytics Project. At this stage, no data analysis has been performed. The purpose is to establish the business context, define the problem to be solved, clarify the objectives, and outline the questions the analysis will later address.

1. Business Context

Customer churn represents a critical risk to sustainable revenue growth in a subscription- or service-based business. Understanding why customers leave, and which customers are most likely to leave, allows the organization to protect its revenue base and allocate retention resources more effectively. Reducing churn is generally far more cost-effective than acquiring new customers, making this analysis directly relevant to long-term profitability and customer relationship management.

2. Business Problem

Customers are leaving the business, and there is currently limited visibility into who is churning, which factors are associated with that churn, and where retention efforts should be concentrated. The core problem is the absence of a structured understanding of churn drivers that can guide targeted action.

3. Business Objective

Identify the main patterns and factors associated with customer churn and translate these findings into actionable retention insights that can inform business decisions.

4. Analytical Objectives

- Determine the overall churn rate.
- Identify high-churn customer segments.
- Analyze relationships between customer characteristics, services, contracts, and payment methods with churn.
- Quantify the potential business impact of churn.

5. Key Business KPIs

Total Customers	Churned Customers
Churn Rate	Retained Customers
Retention Rate	Average Tenure
Average Monthly Charges	Average Total Charges

6. Key Stakeholders

- Management
- Customer Retention / Marketing teams
- Customer Service
- Sales
- Finance

7. Business Decisions Supported

- Which customer segments need attention?
- Which services/contracts are associated with higher churn?
- Which customer groups should be prioritized for retention?

8. Scope

Analyze the available customer and churn-related data to identify patterns, segments, business impact, and recommendations.

9. Out of Scope

- Building a churn prediction machine learning model
- Real-time churn monitoring
- Causal claims
- Interventions that cannot be evaluated with the available data

10. Success Criteria

The project will be considered successful if it produces reliable, validated insights that support clear customer-retention decisions and help prioritize the most important areas of action.

11. Deliverables

- Analysis dataset
- Analytical findings
- Validated insights
- Recommendations
- Power BI dashboard
- Final presentation

12. Business Questions to Establish

The following questions define the scope of inquiry for later analysis stages. They are listed here for reference only and are not answered at this stage.

- 1 What is the overall churn rate?
- 2 Which customer characteristics are associated with higher churn?
- 3 Which contract types have the highest churn?
- 4 Which payment methods have higher churn?
- 5 How does tenure relate to churn?
- 6 How do monthly charges relate to churn?
- 7 Which internet/service combinations have higher churn?
- 8 Which customer segments have the highest churn?

Prepared as part of the Customer Churn Data Analytics Project — Business Understanding stage.